

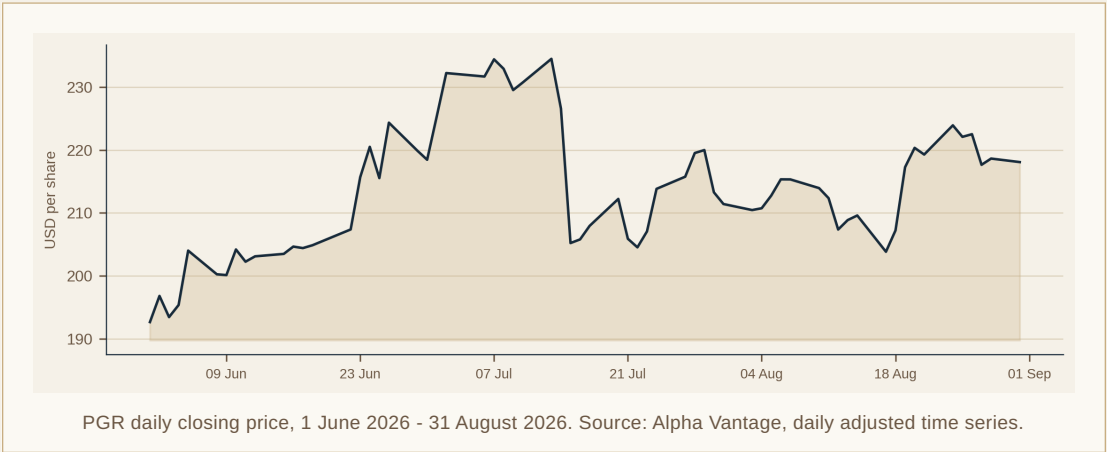
Progressive

The Progressive Corporation

NYSE: PGR · United States · Property & Casualty Insurance

USD 218.08

Close, 31 August 2026 · -0.56 (-0.26%) versus prior close



Executive Summary

Business

The Progressive Corporation, through its insurance subsidiaries, underwrites personal automobile, special-lines (motorcycle, boat, recreational vehicle), homeowners and renters property, and commercial vehicle insurance across the United States. The company distributes through two channels of comparable scale: a direct online, mobile and phone platform, and a network of more than 40,000 independent insurance agencies, ending 2025 with 38.6 million policies in force.

Personal Lines (personal auto, special lines, property) generated 87 percent of 2025 net premiums written, with Commercial Lines (small-business auto and property) contributing the remainder; the business is almost entirely US-domiciled with no material international operations.

Financial Condition

Total revenue reached USD 87.6 billion in fiscal 2025, up 16.3 percent year over year, driven by net premiums earned growth and higher net investment income. Net income was approximately USD 11.3 billion, more than 30 percent above fiscal 2024, on a companywide GAAP combined ratio of 87.4.

Operating cash flow was USD 17.5 billion in 2025 against shareholders' equity of USD 30.3 billion and long-term debt of USD 6.9 billion, leaving the company net-debt-light relative to its balance sheet and statutory surplus of USD 28.4 billion.

Market Position

Progressive competes most directly with State Farm (mutual, not publicly traded), GEICO (a Berkshire Hathaway subsidiary), Allstate, and USAA in personal auto, and with Travelers, Chubb and Cincinnati Financial across broader commercial and property lines. By 2025 full-year NAIC direct-premium data, Progressive ranked a close second to State Farm in US private passenger auto (18.60 percent versus 18.64 percent share), with several trailing-twelve-month readings through 2026 showing Progressive in the top position.

Its principal advantage is a data and pricing-segmentation infrastructure built over three decades, reinforced by its Snapshot telematics program, that allows granular rate-to-risk matching; its principal structural weakness is a revenue base still concentrated almost nine-tenths in personal auto and property, both lines subject to state-by-state rate regulation and weather-driven volatility.

Valuation

At the 31 August 2026 close, Progressive carried a market capitalization of approximately USD 127.1 billion and a calculated enterprise value of approximately USD 133.8 billion. The stock traded at a trailing price-to-earnings ratio of 10.9x, a price-to-book ratio of 3.7x, and a price-to-free-cash-flow ratio of approximately 7.4x; EV/EBITDA is not a meaningful cross-check for an insurer and is presented in Section B3 for completeness only.

Investment Framework

ATTRACTIVE

A scale- and data-driven pricing advantage translating into a combined ratio that improved from 95.8 in 2022 to 87.4 in 2025 alongside double-digit premium growth; low financial leverage; a variable capital-return policy that distributes excess statutory capital without committing to a fixed payout.

CONCERNING	Underwriting margins are inherently cyclical, as illustrated by the swing from a 95.8 combined ratio in 2022 to 87.4 in 2025; premium growth is visibly decelerating as rate actions normalize; a July 2026 post-earnings share-price gap down reflected market sensitivity to any moderation in underwriting margin.
MUST GO RIGHT	Underwriting discipline must hold as growth slows and rate increases moderate; the CFO transition from John Sauerland to Andrew Quigg, completed July 2026, must proceed without disruption to capital-allocation continuity; the Florida personal-auto book must sustain the benefit of 2023 tort-reform legislation.
COULD BREAK THE THESIS	A sustained reversion of the combined ratio above the company's 96 target, loss of personal-auto market share to State Farm or GEICO repricing aggressively, adverse prior-year reserve development, or an outsized catastrophe or property-weather loss year.
PRICED IN	The current multiple appears to assume continued execution near a mid-to-high-80s combined ratio and high-single-digit premium growth, rather than a repeat of the underwriting deterioration seen in 2021-2023.

Investment Profile

BUSINESS QUALITY	High. Scale leadership in a large, non-discretionary, recurring-premium industry with a proprietary pricing-segmentation data set built over three decades.
FINANCIAL QUALITY	Strong. Debt-to-total-capitalization below 20 percent, ample statutory surplus, and a conservative-duration (3.4 year) fixed-income portfolio.
COMPETITIVE POSITION	Leading. Number one or two US private-passenger auto insurer depending on the measurement window, expanding share in bundled property and commercial lines.
GROWTH PROFILE	Decelerating from a record base. Net premiums written grew approximately 12 percent in 2025 versus approximately 15-18 percent in 2024, with consensus EPS estimates for fiscal 2027 below fiscal 2026 levels.
BALANCE-SHEET RISK	Low. Modest financial leverage and a short-duration, investment-grade-weighted bond portfolio limit interest-rate and credit exposure.
VALUATION	Full by the company's own history. Price-to-book of 3.7x is above Progressive's long-run average and above three of its four closest listed peers, though its return on equity is also the highest in the peer set.
MARKET AND TECHNICAL PROFILE	Low measured beta (0.26) and a 52-week range of USD 187.78 to USD 239.38; the stock gapped down roughly 10 percent in mid-July 2026 around the second-quarter release before partially recovering.

A. About the Business

A1. Business Environment

Progressive operates in the US property and casualty (P&C) insurance industry, and specifically in its largest sub-segment, private passenger automobile insurance, alongside meaningful positions in homeowners/renters property and small-commercial vehicle insurance. Private passenger and commercial auto combined are estimated to represent approximately 41 percent of total US P&C direct premiums written in 2025, making auto insurance the single largest line of P&C business in the country and a mandatory purchase in nearly every state for vehicle owners.

The industry's value chain is short: insurers collect premiums, invest the resulting float in fixed-income and equity portfolios pending claims, and pay out losses and loss-adjustment expenses as they are incurred, typically over a period of months to a few years for auto claims (longer for liability lines). Revenue pools are therefore split between underwriting income (premiums less losses and expenses) and investment income (yield earned on the float); cost pools are split between claims costs (the largest line item, driven by accident frequency, repair cost inflation, medical cost inflation and litigation/social-inflation trends), acquisition costs (advertising and agent commissions), and general operating and technology costs.

Capital intensity is regulatory rather than physical: insurers must hold statutory surplus against written premium and reserve risk, and are constrained in pricing changes by state insurance-department rate-approval processes, which can lag cost inflation by one to several quarters. The industry is moderately cyclical at the line-of-business level (an underwriting cycle driven by claims-cost inflation, rate adequacy and competitive discipline) though less volatile than commodity- or capital-goods cyclicalities, and it is geographically fragmented by state regulation, weather exposure and legal environment (Florida and California are recurring sources of outsized volatility for auto and property lines respectively).

Reasoned: the US personal auto insurance industry in 2026 sits in a mature, consolidating stage. Growth is now driven primarily by vehicles-in-force, average premium and market-share shifts between the largest five to six national carriers rather than by category expansion; industry-wide premium growth of approximately 4.8 percent in the first half of 2025 (versus 15.4 percent a year earlier) signals that the sharp rate-hardening cycle of 2022-2024, itself a response to a period of elevated claims severity, has largely run its course and pricing competition among the largest carriers is intensifying again.

A2. What Does the Company Do?

Progressive sells insurance policies that transfer a policyholder's risk of loss (an auto accident, a house fire, a stolen vehicle, a liability claim) in exchange for a periodic premium. The core operating model can be summarized as customer, product, revenue, cost, operating profit, cash flow and capital allocation:

Exhibit A2-1. How a premium dollar moves through Progressive

1. CUSTOMER	A vehicle owner, homeowner or small-business owner requests a quote directly (web, app, phone) or through one of over 40,000 independent agencies.
2. UNDERWRITING	Progressive's pricing algorithms, informed by driving record, vehicle type, location, and for opted-in customers, Snapshot telematics data, set a premium calibrated to expected loss cost plus a target margin.
3. PREMIUM COLLECTED	The premium is recorded as written premium, then earned on a pro-rata basis over the policy term (net premiums earned of USD 84.3 billion in 2025).
4. FLOAT INVESTED	Cash not immediately needed for claims is placed in a USD 97.4 billion investment portfolio (year-end 2025) of primarily investment-grade fixed income plus a smaller equity allocation.
5. CLAIMS AND EXPENSES PAID	Losses and loss-adjustment expenses, acquisition costs (advertising, agent commissions) and other underwriting expenses are paid out; together these produced a companywide combined ratio of 87.4 in 2025, meaning 87.4 cents of every earned premium dollar was consumed by claims and expenses.
6. OPERATING AND INVESTMENT PROFIT	The remaining underwriting margin (12.6 cents per premium dollar in 2025) is combined with net investment income and realized/unrealized portfolio gains to produce pre-tax income.
7. CAPITAL ALLOCATION	After tax, net income (USD 11.3 billion in 2025) funds statutory surplus growth to support further premium growth, a small fixed quarterly dividend, an annual variable dividend tied to the prior year's profitability (USD 13.60 per share declared in December 2025), and modest share repurchases.

Personal Lines is organized into personal auto (the dominant product, USD 66.0 billion of 2025 premiums written), special lines (motorcycle, boat, RV) and personal property (homeowners, renters, condo, manufactured home, USD 3.1 billion written, sold predominantly bundled with an auto policy or placed with third-party carriers Progressive represents through its HomeQuote Explorer platform). Commercial Lines serves small-business owners with commercial auto and business-owner policies. Recurring premium revenue, renewed annually or semi-annually, dominates the model; there is essentially no one-time or project-based revenue. Unit economics are best expressed through the combined ratio (loss ratio plus expense ratio) by product: personal auto at an 88.5 combined ratio, personal property at 75.1, and commercial lines at 87.0 for full-year 2025, all sourced to the company's 2025 Form 10-K shareholder letter.

A3. Business and Relationship Network

DISTRIBUTION - DIRECT	Progressive.com, the Progressive mobile app and 1-800-PROGRESSIVE serve customers who prefer to shop, bind and manage policies without an intermediary; this channel has historically grown faster than the agency channel.
DISTRIBUTION - INDEPENDENT AGENTS	More than 40,000 independent agencies nationwide sell Progressive policies alongside those of competing carriers; Progressive compensates agents on commission and competes for agency shelf space against Travelers, Nationwide, Liberty Mutual and others.
TECHNOLOGY PLATFORMS	Proprietary quoting and comparison platforms - AutoQuote Explorer (auto), HomeQuote Explorer (property), BusinessQuote Explorer (commercial) - aggregate Progressive's own rates alongside third-party carrier rates, monetizing shoppers Progressive does not itself underwrite.
REINSURERS AND CAPITAL MARKETS	Progressive cedes a portion of catastrophe and property risk to the reinsurance market and accesses debt capital markets for a modest amount of senior notes (USD 6.9 billion outstanding at year-end 2025).

REGULATORS	Fifty state insurance departments (plus the District of Columbia) approve rate filings and set solvency, market-conduct and reserve-adequacy requirements; Florida's 2023 tort-reform statute materially affected 2025 personal-auto profitability in that state.
REPAIR AND CLAIMS NETWORK	A network of contracted body shops and Progressive-operated claims service centers underpins its direct-repair claims process, a long-standing operational differentiator in claims-cycle time.
INVESTMENT COUNTERPARTIES	Third-party asset managers and Progressive's internal investment team manage the USD 97.4 billion portfolio across fixed income, equities and short-term instruments.

A4. Competition

Progressive's most economically relevant competitors are the other carriers that compete for the same personal-auto and property customers, distribution relationships and underwriting talent, not simply every company classified under "insurance."

EXHIBIT A4-1. SELECTED COMPETITIVE COMPARISON, PERSONAL AND COMMERCIAL P&C INSURANCE

Carrier	Ownership	Primary lines	Distribution	2025 auto DPW (USD bn)	Relative position vs. Progressive
State Farm	Mutual (not listed)	Personal auto, property, life	Captive agents	69.2	Larger, agent-exclusive model; slower digital-direct build-out
GEICO (Berkshire Hathaway)	Subsidiary of BRK.A/B	Personal auto	Direct-led	42.9	Direct-channel peer; ceded market share 2022-2024 during its own repricing cycle
Allstate (ALL)	Public (NYSE)	Personal auto, property	Captive agents + direct	37.7	Comparable multi-line mix; smaller scale, higher property-catastrophe exposure
USAA	Mutual (military-affiliated)	Personal auto, property, banking	Direct, membership-restricted	n/a	Not directly competed for outside its restricted membership base
Travelers (TRV)	Public (NYSE)	Commercial P&C, some personal	Independent agents	n/a	Commercial-lines and specialty peer more than personal-auto peer
Chubb (CB)	Public (NYSE)	Commercial, high-net-worth personal	Agents/brokers	n/a	Upmarket personal lines and global commercial; limited direct overlap
Cincinnati Financial (CINF)	Public (NASDAQ)	Commercial and personal, agent-centric	Independent agents	n/a	Smaller regional agency-only peer, closer in model to Commercial Lines segment

Direct premiums written (DPW) figures for private passenger auto only, full-year 2025, sourced to NAIC market-share data as reported by AM Best/Agency Checklists. n/a indicates the competitor does not disclose comparable auto-only DPW or is not primarily an auto-line competitor.

A5. Competitive Differences

Advantages. Progressive's central structural advantage is a data and pricing-segmentation infrastructure assembled over roughly three decades, most visibly embodied in its Snapshot usage-based insurance program, which lets it price risk more

granularly than carriers still reliant on traditional rating factors. This is reinforced by a genuine dual-channel distribution model - direct and independent agency - that most single-channel competitors (State Farm's captive-agent model, GEICO's direct-only model) do not match, giving Progressive access to a broader shopper pool. Scale in claims data and a long-standing direct-repair claims network support faster claims cycle times, a meaningful driver of loss-adjustment-expense efficiency.

Disadvantages. Revenue remains concentrated: personal auto alone was roughly 75 percent of 2025 net premiums written, exposing results to a single line's claims-cost cycle. Profitability is also geographically concentrated in ways that create tail risk, illustrated by the outsized 2025 impact of Florida's excess-profit statute (a USD 1.2 billion policyholder-credit expense accrued in 2025 against favorable Florida loss experience). Property insurance remains sub-scale relative to Allstate, State Farm or Chubb, and Progressive has deliberately reduced its homeowners footprint in catastrophe-prone regions rather than compete for share there, capping near-term property growth by design.

Reasoned: the pricing-segmentation and dual-channel distribution advantages are structural, built over decades and continuously reinforced by proprietary claims and telematics data that is costly for a new entrant to replicate. The current underwriting-margin advantage over peers (an 87.4 combined ratio versus competitors generally operating in the low-to-mid 90s through the same cycle) is partly structural (data/segmentation) and partly cyclical (favorable 2024-2025 claims-frequency trends and the one-time Florida legislative tailwind), and should not be extrapolated at its full magnitude indefinitely.

MOAT ASSESSMENT

Moderate to Strong.

The moat rests on data/scale advantages and multi-channel distribution reach rather than on switching costs, network effects, or intellectual property in the conventional sense; auto insurance itself carries low nominal switching costs (annual shopping is easy), which is precisely why Progressive's pricing-precision edge, rather than customer captivity, is the more durable source of advantage.

A6. Industry Trend

Personal auto insurance pricing rose sharply from 2021 through 2024 as claims severity (used-vehicle prices, parts and labor inflation, medical cost inflation and, in some jurisdictions, rising litigation/social-inflation costs) outpaced the rate increases carriers had embedded in prior years' pricing, compressing industry underwriting margins broadly (Progressive's own combined ratio rose from 85.2 in 2020 to a peak near 95.8 in 2022). Carriers industry-wide then pushed through cumulative double-digit rate increases in 2022-2024, restoring margins by 2024-2025 as claims-frequency trends simultaneously moderated. By the first half of 2025, industry premium growth had slowed to roughly 4.8 percent (from over 15 percent a year earlier), indicating the repricing phase is largely complete and competitive intensity for growth is increasing again.

Reasoned: the industry is best classified as mature and now re-entering a competitive (as opposed to a rate-hardening) phase of its cycle, with consolidation continuing among the largest five to six national carriers, who together hold well over half of private-passenger auto share. Structural trends layered on top of the cycle include the continued build-out of telematics/usage-based pricing across the industry (Progressive a first mover, but competitors have converged toward similar capability), growing use of generative artificial intelligence in claims handling and customer service, and continued climate-driven volatility in the property line specifically. The cyclical rate-hardening phase of 2021-2024 would be expected to reverse toward a softer pricing environment if claims-cost inflation re-accelerates unexpectedly (for example, a resurgence in vehicle-repair-parts inflation or medical-cost inflation), which would compress margins industry-wide again.

A7. Management

TRICIA GRIFFITH	President and Chief Executive Officer since July 2016 and a Progressive employee since 1988, having joined as a claims representative and risen through claims, human resources and customer-operations leadership roles before becoming CEO. Under her tenure, policies in force have grown from roughly 15 million to 38.6 million. She was named Fortune's Businessperson of the Year in 2018 and continues to be recognized among Fortune's most powerful women.
JOHN SAUERLAND	Chief Financial Officer for the decade preceding his announced retirement, effective 3 July 2026, after 35 years with the company.
ANDREW QUIGG	Named CFO-successor in January 2026 and has assumed the role following Sauerland's July 2026 retirement. Quigg joined Progressive in 2007, served as Chief Strategy Officer from 2018, and previously worked at Merrill Lynch, General Mills and McKinsey & Company.

Reasoned: capital allocation under the current management team has favored reinvestment in growth (advertising spend rose roughly USD 1.1 billion in 2025 to support policy-in-force growth) and organic statutory-surplus accumulation over aggressive buybacks; share repurchases were a modest USD 166 million in 2025 against USD 2.9 billion of dividends paid, with the large annual variable dividend functioning as the primary excess-capital return mechanism. This approach - retaining capital when underwriting returns are attractive and distributing it opportunistically rather than through a fixed payout ratio - is consistent with a management team that has prioritized funding growth in a favorable underwriting environment over guaranteed shareholder distributions, and is broadly aligned with long-term shareholder interests provided underwriting discipline is maintained through the CFO transition.

B. Evaluation

B1. Financial and Operating Metrics

For a regulated insurer, the combined ratio (Section A2, Exhibit A2-1) is the primary underwriting-profitability metric; conventional gross-margin and inventory/asset-turnover measures used for manufacturers or retailers are not meaningful here and are omitted. Return on invested capital is similarly not a standard insurance metric, since the business is funded predominantly by policyholder float rather than conventional invested capital; return on equity is the relevant profitability yardstick instead.

EXHIBIT B1-1. KEY FINANCIAL AND OPERATING METRICS, FISCAL YEAR 2025

Metric	Value	Basis
Companywide combined ratio	87.4	Reported (10-K shareholder letter)
Net margin	12.9%	Calculated: net income / total revenue
Operating margin (TTM)	18.2%	Reported (data provider)
Return on equity (FY2025, average equity)	~40.4%	Calculated: net income / average shareholders' equity
Return on equity (trailing twelve months)	34.9%	Reported (data provider, through Q2 2026)
Return on assets (TTM)	7.8%	Reported (data provider)
Revenue CAGR, 2021-2025	16.4%	Calculated
Net premiums written growth, 2025	~12%	Reported
Policies in force growth, 2025	10%	Reported
Debt / total capitalization	18.5%	Calculated from year-end 2025 balance sheet
Interest coverage (EBIT / interest expense)	~52x	Calculated
Operating cash flow margin	20.0%	Calculated: OCF / total revenue
Free cash flow margin	19.6%	Calculated: (OCF - capex) / total revenue
OCF / net income (cash conversion)	1.55x	Calculated
Capex / revenue	0.4%	Calculated (asset-light, low capital intensity)

Relative to its own history, Progressive's 2025 combined ratio of 87.4 is the best full-year result in the six-year series examined in Section C1, and its return on equity is well above the mid-teens to low-twenties levels typical of 2021 and 2023. Relative to peers (Exhibit B3-2), Progressive's trailing return on equity (34.9 percent TTM per data provider) is the highest among the five-company comparison set, though Allstate's reported TTM ROE (46.1 percent) is higher over its own trailing window; both figures partly reflect a currently benign claims environment across the industry rather than company-specific factors alone.

B2. Risks

BUSINESS RISK	Product concentration in personal auto (roughly three-quarters of net premiums written) and geographic concentration of profitability in a handful of large states, Florida prominent among them following its 2025 policyholder-credit accrual.
FINANCIAL RISK	Interest-rate sensitivity of the USD 97.4 billion investment portfolio (3.4-year fixed-income duration); reserve-adequacy risk if prior-year loss reserves prove insufficient, which would require unfavorable reserve development charges against future earnings.
COMPETITIVE RISK	State Farm and GEICO both retain larger or comparable scale in personal auto and could reprice aggressively to recover share, compressing industry-wide margins as growth normalizes; independent-agency competition for shelf space against Travelers, Nationwide and Liberty Mutual.
TECHNOLOGICAL RISK	Broader industry adoption of telematics and AI-based underwriting could erode Progressive's historical pricing-segmentation edge over time; cybersecurity exposure given the scale of personally identifiable and driving-behavior data held.
REGULATORY RISK	State-by-state rate approval can delay repricing in a rising-cost environment; Florida's excess-profit statute directly reduced 2025 reported profitability, and other states could legislate similar mechanisms following a period of strong industry profits.
MACRO RISK	Vehicle-repair, parts and medical-cost inflation directly drive claims severity; interest-rate moves affect both investment income and the fair value of the fixed-income portfolio; a broader economic downturn could reduce miles driven (a modest offsetting tailwind) but also policy lapses.
VALUATION RISK	A price-to-book multiple (3.7x) above Progressive's own longer-run average and above three of four listed peers leaves limited room for multiple expansion if underwriting margins normalize toward the company's own 96 combined-ratio target.

Reasoned - three risks most capable of permanently impairing shareholder value: (1) a structural, multi-year reversion of the combined ratio toward or above 100, of the kind seen briefly in 2022, driven by a renewed acceleration in claims-cost inflation that outpaces the company's ability to reprice; (2) sustained loss of personal-auto market share to State Farm or GEICO in a renewed price war, which would compress both growth and margin simultaneously; and (3) adverse reserve development on a scale that signals a systemic mispricing of risk rather than a single bad accident year, which would undermine confidence in the pricing-segmentation advantage that underpins the investment case.

B3. Valuation

EXHIBIT B3-1. CURRENT VALUATION MULTIPLES, AS OF 31 AUGUST 2026 CLOSE (USD 218.08)

Metric	Value	Basis
Market capitalization	USD 127.1 bn	Reported
Enterprise value	~USD 133.8 bn	Calculated: market cap + total debt - holding-company cash
Trailing P/E	10.9x	Reported
Forward P/E (consensus FY2026)	12.4x	Reported
Price / book	3.7x	Reported
Price / sales (TTM)	1.4x	Reported

Metric	Value	Basis
Price / free cash flow	~7.4x	Calculated: market cap / FY2025 FCF
EV / revenue	1.5x	Reported
EV / EBITDA	21.9x (not meaningful)	Reported; EBITDA is not a standard insurance metric and this ratio is included for cross-sector completeness only
Regular (fixed) dividend yield	0.2%	Calculated: annualized USD 0.40 / price
Trailing total dividend yield incl. variable dividend	~6.4%	Calculated: trailing twelve months' declared dividends (USD 13.90/share, including the USD 13.60 variable dividend paid January 2026) / price

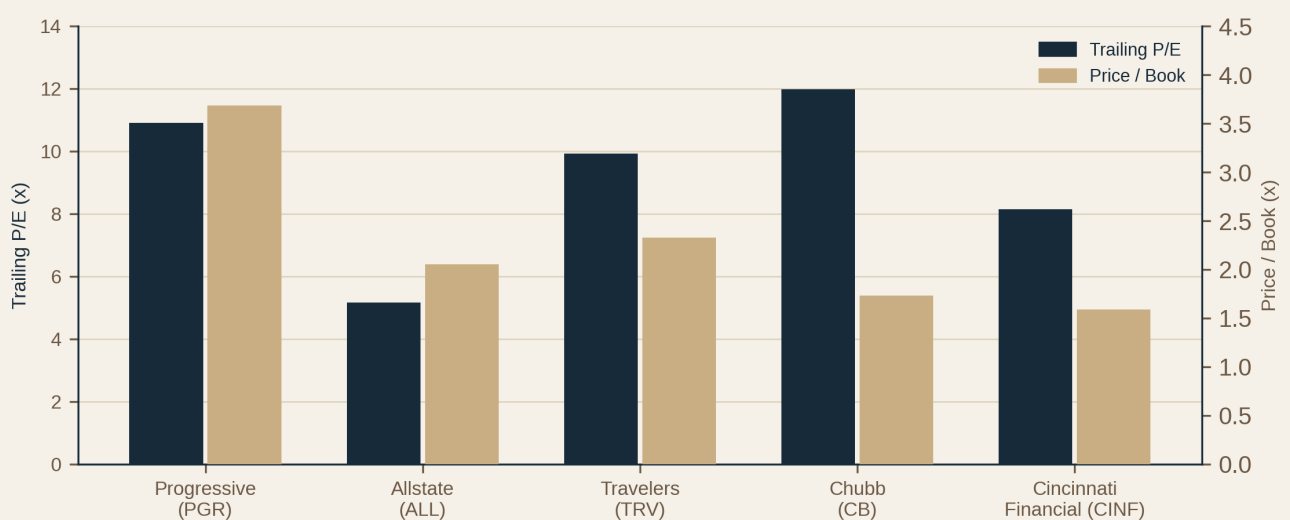
Within the past 52 weeks the stock has traded between USD 187.78 and USD 239.38, equivalent to roughly 9.4x to 11.9x trailing earnings at the current EPS level, indicating the current 10.9x multiple sits in the middle of its own recent range rather than at an extreme.

EXHIBIT B3-2. PEER VALUATION COMPARISON

Company	Trailing P/E	Price/Book	ROE (TTM)	Dividend yield
Progressive (PGR)	10.9x	3.7x	34.9%	0.2% (+ variable)
Allstate (ALL)	5.2x	2.1x	46.1%	1.6%
Travelers (TRV)	9.9x	2.3x	26.5%	1.2%
Chubb (CB)	12.0x	1.7x	14.8%	1.2%
Cincinnati Financial (CINF)	8.2x	1.6x	21.5%	2.1%

Peers selected for direct overlap in personal or commercial P&C underwriting rather than GICS classification alone; see Exhibit A4-1 for selection rationale. Source: data provider company-overview snapshots, 31 August 2026.

Exhibit B3-2b. Peer valuation, trailing P/E and price/book



Trailing P/E (left axis) and price/book (right axis). Source: data provider company-overview snapshots, 31 August 2026.

Progressive trades at the highest price-to-book multiple in this peer set, financed by the highest sustained combined-ratio discipline and among the highest returns on equity; Allstate's lower P/E and P/B despite a higher trailing ROE partly reflects

its larger property-catastrophe exposure and a 2025 reported P/E depressed by one-off items, illustrating that trailing multiples for insurers can be distorted by a single quarter's catastrophe losses or reserve releases and should be read alongside the underlying combined-ratio trend.

Adapted earnings-distribution valuation (in place of a conventional free-cash-flow DCF)

Reasoned/Estimated. A conventional free-cash-flow DCF (built around capital expenditure and working-capital reinvestment) is poorly suited to a regulated insurer, where the relevant reinvestment need is regulatory statutory surplus rather than physical capital, and where capex is immaterial (0.4 percent of revenue). We instead apply a distributable-earnings approach: projecting net income, assuming a portion is retained to fund continued premium growth (surplus retention) and the remainder is available for distribution to shareholders, discounted at an estimated cost of equity.

EXHIBIT B3-3. DISTRIBUTABLE-EARNINGS VALUATION ASSUMPTIONS (ALL ESTIMATED/REASONED)

Assumption	Base case	Note
Starting point: FY2025 net income	USD 11.3 bn	Reported
Net income growth, years 1-3	4% - 8%	Estimated; consistent with analyst consensus showing FY2027 EPS below FY2026 as margins normalize
Net income growth, years 4-5 fading to	5%	Estimated, toward a long-run nominal GDP-like terminal rate
Terminal growth rate	4.0%	Estimated
Surplus retention (reinvestment) rate	35%	Estimated, consistent with 2025 capital retention behavior
Risk-free rate (10-year US Treasury)	4.6%	Reported, July 2026
Equity risk premium	5.5%	Estimated (long-run US average)
Discount rate range applied	8.5% - 10.5%	Estimated; set above the narrow 7.4%-9.0% CAPM range implied by the reported 0.26 beta (Exhibit B4), on the view that a beta this low likely understates the true systematic and cycle risk of underwriting earnings

A full five-year explicit projection and terminal-value sensitivity grid is presented in Section C5. At the model's central assumptions (10.5 percent discount rate, 4.0 percent terminal growth), the model reproduces a value per share of approximately USD 218, essentially identical to the 31 August 2026 close, which is a useful cross-check rather than a coincidence: it implies the market is currently pricing Progressive using an effective discount rate near the upper end of our estimated range, consistent with a market that is not extrapolating 2025's combined ratio indefinitely.

Reasoned - what the current price requires: holding the combined ratio near the mid-to-high 80s (versus the company's own long-run 96 target) for several more years, alongside high-single-digit annual premium growth. Relative to Progressive's own 2020-2023 combined-ratio range (85.2 to 95.8), this appears optimistic-to-reasonable rather than conservative: the current price does not appear to assume a full reversion to the 96 target, and a multi-year reversion of that kind would be expected to pressure both earnings and the multiple simultaneously.

B4. Capital Market and Stock Analysis

EXHIBIT B4-1. PRICE RETURNS TO 31 AUGUST 2026 CLOSE (CALCULATED FROM WEEKLY CLOSING PRICE DATA)

Period	Return
1 month	+3.2%
3 months	+13.2%
Year to date	-4.0%
1 year	-11.7%
3 years	+64.5%
5 years	+123.7%
10 years	+576.4%

Exhibit B4-2. PGR share price, ten-year history



Weekly closing price, August 2016 - August 2026. Source: Alpha Vantage, weekly time series.

Annualized volatility of weekly returns over the trailing year was approximately 26.5 percent, and the maximum peak-to-trough drawdown over the trailing five- and ten-year windows was approximately 33.4 percent (calculated from weekly closing prices), concentrated around the 2022 underwriting-margin deterioration. The reported beta of 0.26 (data provider, five-year monthly basis) is notably low for a company whose earnings are visibly cyclical, and likely reflects a period in which Progressive's own stock-specific catalysts (premium growth, combined-ratio swings) have been only loosely correlated with broad-market moves rather than genuinely low systematic risk; investors should treat it with caution rather than as a precise risk measure, consistent with the wider beta range used in Exhibit B3-3.

The stock reached a 52-week closing high near USD 248 in the second half of 2025 before drifting lower into 2026, consistent with the year-to-date and one-year return figures above. A sharp single-session decline of roughly 10 percent occurred around 15 July 2026, coinciding with the company's second-quarter earnings release and a combined ratio (87.1 for the December-comparable reporting period referenced in Section C1) that, while still strongly profitable, represented a year-over-year widening versus the prior-year quarter - illustrating the market's sensitivity to any moderation in underwriting margin even from a high base. The stock partially recovered into the 31 August close of USD 218.08, which sits modestly above both its 50-day and 200-day moving averages reported by the data provider (USD 216.45 and USD 210.66).

respectively as of late August 2026), a mildly constructive near-term technical signal that is nonetheless distinct from, and should not be conflated with, the fundamental valuation picture in Section B3.

C. Financial Statements

Progressive reports under US GAAP. Figures below are Reported as filed unless marked Calculated. Gross-profit and cost-of-revenue concepts are omitted throughout, as the generic GAAP taxonomy used by data providers does not map cleanly onto an insurer's premium/loss structure; the combined ratio (Section A2, B1) is used instead as the primary underwriting-margin measure. Two adjusted-EBITDA or other non-GAAP figures are not disclosed by the company and are therefore not presented.

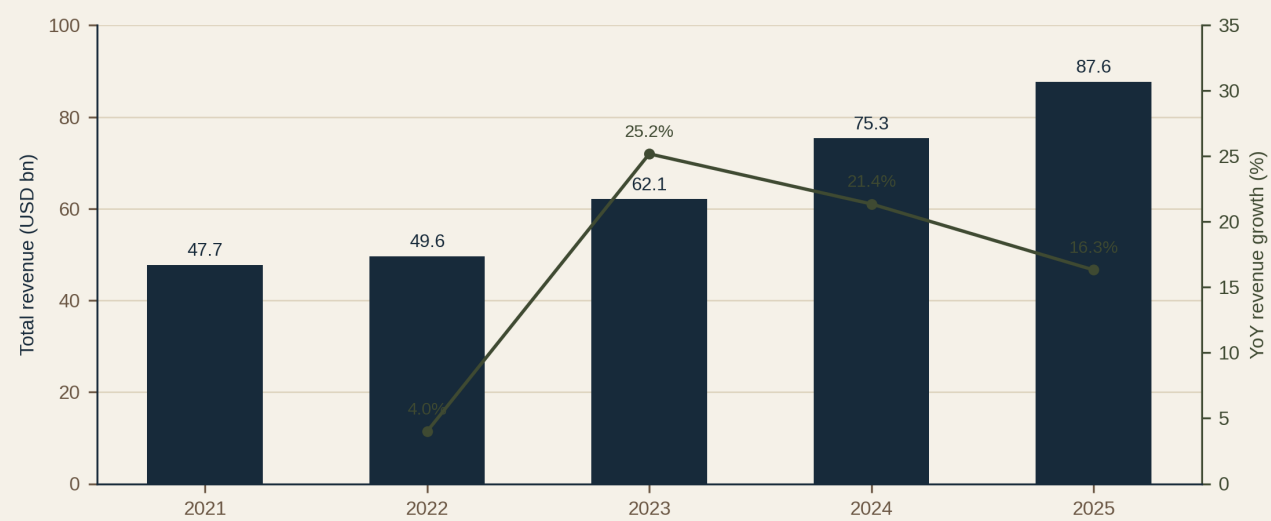
C1. Income Statement

EXHIBIT C1-1. INCOME STATEMENT SUMMARY, FISCAL YEARS 2021-2025 (USD MILLIONS EXCEPT RATIOS)

Line item	2021	2022	2023	2024	2025
Total revenue	47,677	49,587	62,083	75,343	87,637
Revenue growth (YoY)	n/a	4.0%	25.2%	21.4%	16.3%
Operating income	4,210	922	4,904	10,713	14,223
Operating margin	8.8%	1.9%	7.9%	14.2%	16.2%
EBIT	4,429	1,166	5,172	10,992	14,501
EBITDA	4,766	1,472	5,457	11,276	14,814
Income tax expense	859	200	1,001	2,233	2,915
Effective tax rate	20.4%	21.7%	20.4%	20.8%	20.5%
Net income	3,351	722	3,903	8,480	11,308
Net margin	7.0%	1.5%	6.3%	11.3%	12.9%
Companywide combined ratio	95.3	95.8	94.9	88.8	87.4

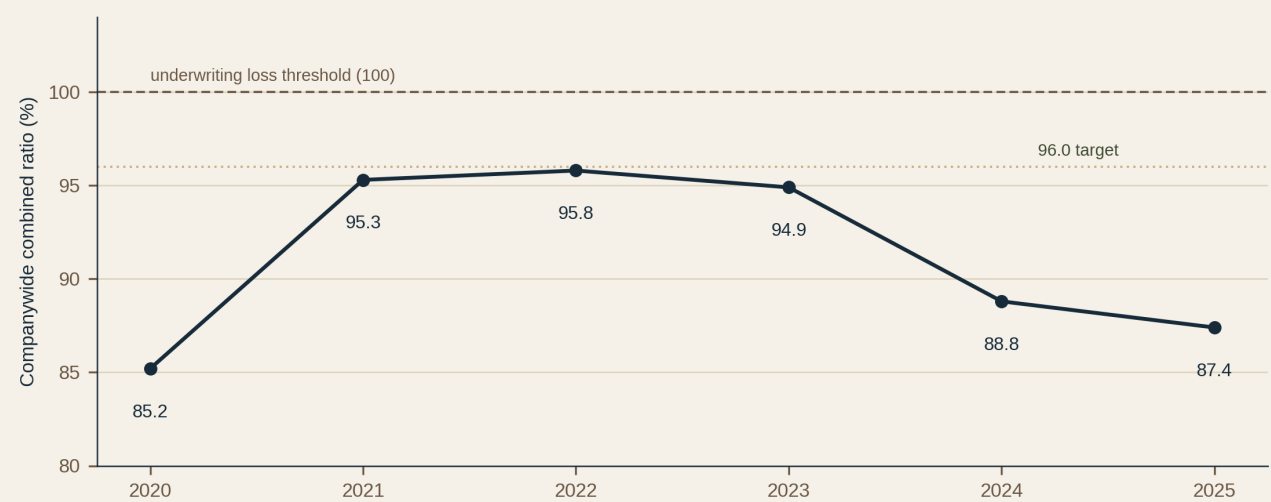
Reported (data provider, normalized GAAP mapping) for revenue, operating income, EBIT, EBITDA, tax and net income lines; combined ratio Sourced to company shareholder letters and secondary financial press as detailed in Section G. Operating margin, net margin and effective tax rate are Calculated.

Exhibit C1-2. Revenue and year-over-year growth, 2021-2025

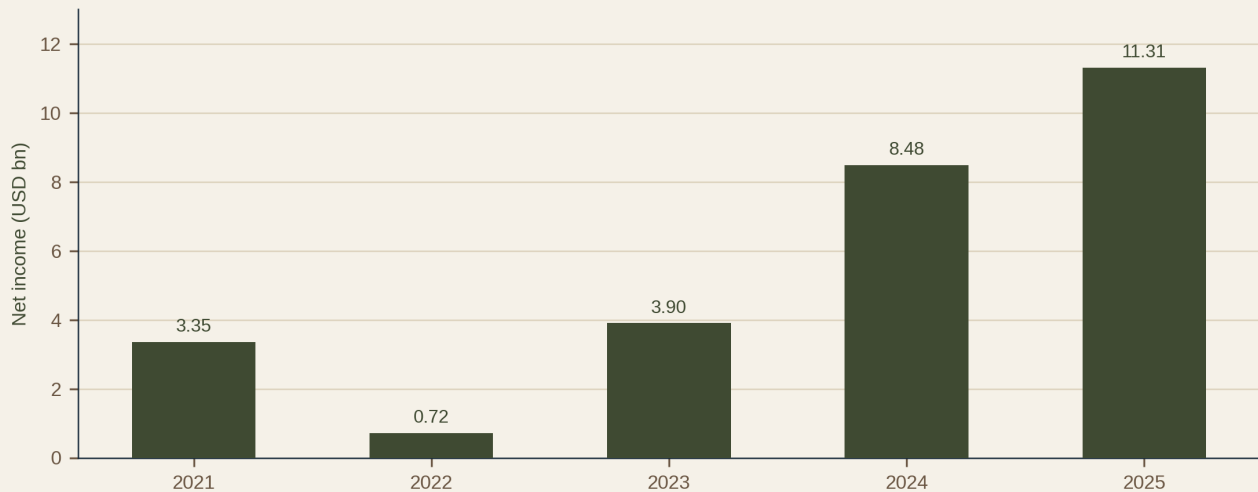


Total revenue (USD bn, bars, left axis) and year-over-year growth (% , line, right axis). Source: company income statements, as reported to data provider.

Exhibit C1-3. Companywide combined ratio, 2020-2025



GAAP companywide combined ratio (%); a reading below 100 indicates an underwriting profit. Source: company shareholder letters and secondary financial press, see Section G.

Exhibit C1-4. Net income, 2021-2025

Net income (USD bn). Source: company income statements, as reported to data provider.

Revenue growth accelerated sharply from 2022 through 2024 as the industry-wide repricing cycle described in Section A6 pushed through cumulative double-digit rate increases while policy count also grew; growth then moderated to 16.3 percent in 2025 as rate increases normalized even as premium and policy volume both continued to expand. The 2022 trough in operating income and net margin corresponds to the period of peak claims-cost inflation described in Section A6, when claims severity outpaced embedded pricing; the subsequent recovery through 2025 reflects both repricing catching up and claims-frequency trends moderating. Operating leverage is evident: revenue grew 83.8 percent cumulatively from 2021 to 2025 while operating income grew 237.8 percent over the same period, as a largely fixed expense base was spread over a much larger premium base.

C2. Balance Sheet

EXHIBIT C2-1. BALANCE SHEET SUMMARY, FISCAL YEAR-END 2024 AND 2025 (USD MILLIONS)

Line item	FY2024	FY2025
Total assets	105,745	123,039
Total investment portfolio (fair value)	n/a - see note	97,400
Total liabilities	80,154	92,716
Long-term debt	6,893	6,897
Total shareholders' equity	25,591	30,323
Retained earnings	24,283	27,327
Common shares outstanding (period-end, millions)	587.7	588.2
Debt / equity	26.9%	22.7%
Debt / total capitalization	21.2%	18.5%
Assets / equity (leverage multiple)	4.13x	4.06x

Reported (data provider) for total assets, liabilities, debt, equity, retained earnings and shares outstanding; FY2025 total investment portfolio figure Sourced to the company's 2025 shareholder letter (statutory basis, year-end 2025) and not directly comparable to the data-provider balance-sheet fields for 2024, which

is marked Not Retrieved on this specific line to avoid mixing bases. Debt/equity, debt/total capitalization and the leverage multiple are Calculated. Goodwill was reported at USD 228 million for FY2024 and was not separately broken out (combined with other intangibles) in the FY2025 balance sheet as supplied by the data provider.

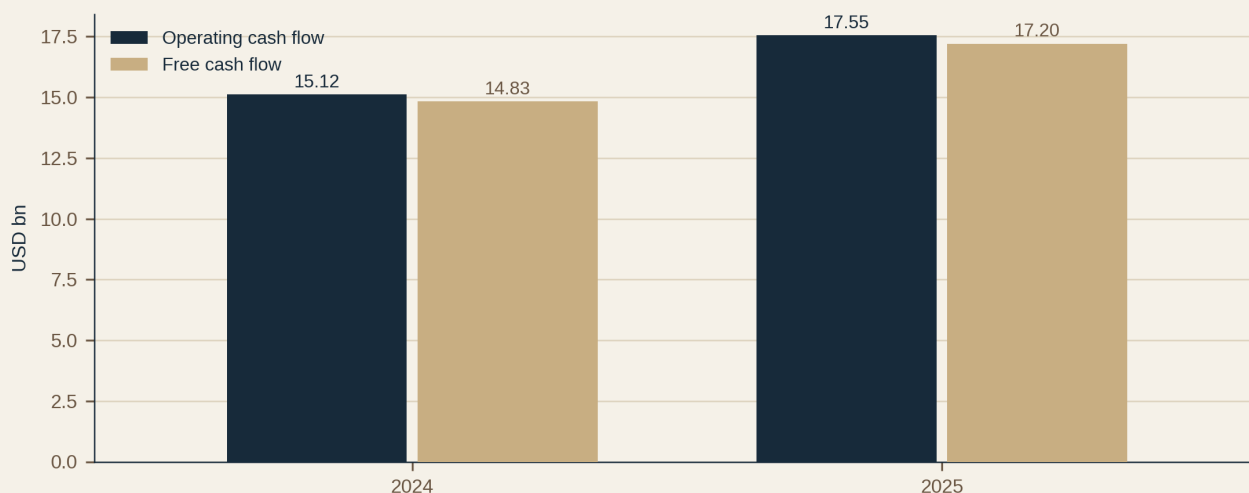
The balance sheet strengthened materially in 2025: total assets grew 16.4 percent, driven by growth in the investment portfolio funded by strong operating cash generation, while shareholders' equity grew 18.5 percent to USD 30.3 billion. Debt is modest and essentially unchanged in absolute terms (USD 6.9 billion across both years), so leverage ratios improved purely through equity growth; a debt-to-total-capitalization ratio below 20 percent is low both in absolute terms and relative to most publicly traded P&C peers. No red flags of the kind associated with deteriorating balance-sheet quality - rising receivables relative to revenue, ballooning goodwill, or near-term refinancing walls - are evident in the two years of detailed data reviewed; the modest, unchanged debt balance and the absence of near-term maturities within the reviewed disclosures both support this reading.

C3. Cash Flow Statement

EXHIBIT C3-1. CASH FLOW SUMMARY, FISCAL YEAR 2024 AND 2025 (USD MILLIONS)

Line item	FY2024	FY2025
Operating cash flow	15,119	17,548
Capital expenditure	285	348
Free cash flow	14,834	17,200
Cash flow from investing activities	(13,749)	(14,527)
Cash flow from financing activities	(1,316)	(3,037)
Dividends paid	682	2,871
Share repurchases	634	166
Stock-based compensation	122	132
OCF / net income	1.78x	1.55x
FCF margin	19.7%	19.6%

Reported (data provider) for operating, investing and financing cash flow, capex, dividends, repurchases and stock-based compensation. Free cash flow, OCF/net income and FCF margin are Calculated. Dividends-paid figures reflect cash actually disbursed in each fiscal year, which lags the December declaration of the annual variable dividend by roughly one month (Section A2, Exhibit A2-1); the FY2025 dividends-paid figure therefore mainly reflects the smaller USD 4.60 per share variable dividend declared in December 2024, not the larger USD 13.60 per share dividend declared in December 2025, which will appear in FY2026 cash flow.

Exhibit C3-2. Operating and free cash flow, 2024-2025

USD billions. Source: company cash flow statements, as reported to data provider.

In both years shown, operating cash flow exceeded net income by a wide margin (1.55x to 1.78x); net income is not equal to cash generation here because Progressive collects written premium in cash at policy inception while recognizing it as revenue only as it is earned over the policy term, and because a rapidly growing book of business generates rising unearned-premium and loss-reserve liabilities that add to operating cash flow without yet being reflected in net income. This dynamic is a normal and generally favorable feature of a growing insurer's cash flow profile, though it also means cash flow growth can decelerate mechanically once premium growth itself decelerates, even if underwriting margins hold steady. Capital expenditure is immaterial (0.4 percent of revenue in 2025), consistent with an asset-light, technology- and data-driven operating model rather than a capital-intensive one.

C4. Forecasting and Projections

EXHIBIT C4-1. CONSENSUS ESTIMATES AND SCENARIO FRAMEWORK

Metric	FY2026E	FY2027E	Basis
Revenue estimate (average)	USD 87.2 bn	USD 92.2 bn	Reported (consensus, 8 analysts)
EPS estimate (average)	USD 17.90	USD 16.28	Reported (consensus, 22-23 analysts)

Consensus embeds an unusual pattern: revenue is expected to keep growing (plus 5.4 percent in 2027 on top of an implied 2026 gain) while average EPS estimates for 2027 sit below those for 2026, which mechanically implies analysts expect the combined ratio and/or investment returns to normalize downward even as the premium base keeps expanding - consistent with the industry-trend view in Section A6 that the 2021-2024 rate-hardening cycle is largely complete and margins are more likely to mean-revert than to hold at 2025's multi-year-best level indefinitely.

BULL SCENARIO

Net premiums written growth sustains high single digits, the combined ratio holds in the mid-80s as claims-frequency trends stay benign and the Florida legislative tailwind persists, and net income continues compounding near the 2021-2025 average rate; consistent with the upper end of the Section C5 sensitivity grid.

BASE SCENARIO

Premium growth decelerates toward mid-single digits as rate increases fade and competitive intensity picks up; the combined ratio drifts back toward the low-to-mid 90s over several years but remains profitably below the company's own 96 target; net income growth slows markedly from the 2024-2025 pace. This is broadly consistent with the consensus estimate pattern above.

BEAR SCENARIO

A renewed acceleration in claims-cost inflation (parts, labor, medical, litigation) outpaces the industry's ability to reprice given regulatory lag, pushing the combined ratio back above 96 and potentially toward 100, as occurred in 2022; premium growth simultaneously slows as competitors reprice aggressively for share, compressing both the top and bottom line together.

C5. Adapted Discounted Cash Flow Model

As explained in Section B3, a conventional capex/working-capital-based free cash flow DCF is not well suited to a regulated insurer. The model below projects distributable earnings (net income after an assumed 35 percent surplus-retention rate to fund continued growth) over five years, then applies a terminal value.

EXHIBIT C5-1. EXPLICIT FIVE-YEAR DISTRIBUTABLE EARNINGS PROJECTION (BASE CASE: 10.5% DISCOUNT RATE, 4.0% TERMINAL GROWTH)

Year	Net income growth	Net income (USD bn)	Distributable earnings (USD bn)	Present value (USD bn)
2026E	8.0%	12.21	7.94	7.18
2027E	6.0%	12.95	8.41	6.89
2028E	5.0%	13.59	8.84	6.55
2029E	5.0%	14.27	9.28	6.24
2030E	5.0%	14.99	9.74	5.94
Terminal value (2030 base, 4.0% growth)				94.62

All figures Estimated/Calculated per the assumptions in Exhibit B3-3. Sum of present values equals approximately USD 127.4 billion; divided by approximately 584.3 million diluted-equivalent shares outstanding, this implies a value per share of approximately USD 218, essentially matching the 31 August 2026 market price under these specific assumptions.

EXHIBIT C5-2. SENSITIVITY OF IMPLIED VALUE PER SHARE TO DISCOUNT RATE AND TERMINAL GROWTH (USD)

Discount rate	3.5% terminal growth	4.0% terminal growth	4.5% terminal growth
8.5%	289	315	349
9.5%	240	258	279
10.5%	206	218	232

The grid ranges from roughly USD 206 to USD 349 per share across the assumption combinations tested, illustrating how sensitive a perpetuity-based terminal value is to small changes in the discount-rate/growth spread - a general limitation of this method that should temper confidence in any single point estimate. The current price falls at the conservative (low value) corner of the grid, which is consistent with a market that is pricing meaningful execution risk around sustaining 2025's unusually favorable combined ratio, rather than one that is undervaluing the business relative to a continuation of recent trends.

C6. Leveraged Buyout Analysis

Not materially applicable. Progressive is a regulated insurance holding company whose operating subsidiaries are subject to state insurance-department capital, dividend-upstreaming and change-of-control approval requirements; a conventional

debt-funded LBO structure - which relies on leveraging the operating company's cash flows well beyond current levels - is not a realistic acquisition structure for a business of this type and scale, and regulators would in practice constrain both the leverage that could be placed on the insurance subsidiaries and the pace at which statutory surplus could be upstreamed to service acquisition debt. No LBO model is therefore presented; this is consistent with the instruction to omit metrics or models that are not economically meaningful for the company under analysis.

D. Investment Thesis

Bull Case

Progressive sustains net premiums written growth in the high single to low double digits while holding its combined ratio in the mid-80s to low-90s, as its pricing-segmentation and telematics data advantage continues to compound and Florida's favorable legislative environment persists. Continued market-share gains against State Farm and GEICO, expanding property and commercial lines, and a still-attractive investment-portfolio yield environment combine to sustain the currently elevated (34.9 percent trailing) return on equity closer to its recent level than to its longer-run average, supporting further re-rating even from the current price-to-book multiple.

Bear Case

Claims-cost inflation re-accelerates (vehicle parts, labor, medical costs, or litigation/social-inflation trends), and state-by-state rate-approval lag prevents Progressive from repricing quickly enough, pushing the combined ratio back toward or above 96, echoing 2022. Simultaneously, State Farm or GEICO respond to Progressive's recent share gains with aggressive repricing of their own, compressing growth and margin together. A adverse reserve-development charge or an outsized catastrophe/property loss year further pressures earnings, and the price-to-book multiple compresses from its current 3.7x toward peer levels (1.6x-2.3x) as the market re-rates the durability of returns.

Base Case

Premium growth decelerates from the 12 percent pace of 2025 toward mid-to-high single digits as the 2022-2024 repricing cycle fully normalizes and competitive intensity increases; the combined ratio drifts up from 87.4 toward the low-to-mid 90s over the next several years while remaining comfortably below the company's own 96 target; net income growth slows markedly from the 2024-2025 pace, consistent with consensus estimates showing 2027 EPS below 2026. Capital allocation continues to favor growth-funding surplus retention plus an annual variable dividend rather than a fixed payout increase.

Catalysts

QUARTERLY RESULTS	Monthly and quarterly combined-ratio and net-premiums-written disclosures are unusually frequent and closely watched catalysts relative to most industrials or consumer companies.
CFO TRANSITION	Continuity (or disruption) in capital-allocation messaging as Andrew Quigg settles into the CFO role following John Sauerland's July 2026 retirement.
RATE/REGULATORY FILINGS	State rate-approval decisions, and any replication of Florida-style excess-profit or policyholder-credit statutes in other large states.
CATASTROPHE SEASON	Hurricane and severe-convective-storm activity affecting the property book and, at the margin, personal-auto claims in affected regions.
CAPITAL RETURN	The size of the annual variable dividend declared each December, which functions as the market's clearest read on realized full-year excess capital generation.

Things to Monitor

EXHIBIT D-1. MONITORING CHECKLIST

Metric or event	Why it matters	Positive signal	Negative signal
Companywide combined ratio (monthly/quarterly)	Direct measure of underwriting profitability, the core driver of earnings	Holding below 96 while premium growth continues	Sustained move above 96, echoing 2021-2022
Net premiums written growth	Leading indicator of future earned-premium and market-share trends	Growth stabilizing in mid-to-high single digits	Sharp deceleration or outright contraction, signaling share loss or a pull-back in underwriting appetite
Personal auto market share (NAIC/AM Best data)	Tracks competitive position versus State Farm and GEICO	Continued gradual share gains	Share reversal as competitors reprice aggressively
Prior-year reserve development	Signals whether past pricing/reserving was adequate	Continued favorable development	Adverse development, indicating reserve inadequacy
Florida and other state legislative/regulatory action	A single state materially affected 2025 results via an excess-profit statute	Stable or improving legislative environment	Additional states adopting similar policyholder-credit mechanisms
CFO transition execution	Continuity of capital-allocation and disclosure practices	Smooth handover, consistent guidance cadence	Guidance volatility or unexpected changes in capital-return policy

E. Final Investment Framework

BUSINESS QUALITY	High. A scale leader in a large, recurring-premium, non-discretionary insurance line, with a genuine data and multi-channel distribution advantage built over three decades.
FINANCIAL QUALITY	Strong. Low leverage (debt/total capitalization 18.5%), strong statutory surplus (USD 28.4 billion), and operating cash flow consistently exceeding net income.
COMPETITIVE POSITION	Leading. A close number one or two US private-passenger auto insurer depending on the measurement window, with room to grow further in property and commercial lines.
MANAGEMENT	Experienced and internally promoted (CEO Tricia Griffith, a 38-year company veteran); capital allocation has favored funding growth and variable capital return over a fixed dividend policy or aggressive buybacks, currently navigating a CFO transition to Andrew Quigg.
INDUSTRY	Mature and re-entering a competitive phase after a 2021-2024 rate-hardening cycle; structurally growing telematics and AI adoption industry-wide, with continuing state-level regulatory and legislative variability.
VALUATION	Full relative to Progressive's own history and most listed P&C peers on a price-to-book basis (3.7x), though supported by the highest sustained combined-ratio discipline and among the highest returns on equity in the peer set; the adapted DCF in Section C5 shows the current price consistent with a market discount rate near the top of our estimated range.
TECHNICAL AND MARKET STRUCTURE	Low reported beta (0.26) that should be treated with caution; price sits modestly above its 50- and 200-day moving averages after a sharp mid-July 2026 post-earnings decline and partial recovery; one-year return is negative (-11.7%) despite record fiscal 2025 profitability, reflecting multiple compression from 2025 highs.
PRINCIPAL RISK	A structural, multi-year reversion of the combined ratio toward or above 100, of the kind experienced in 2022, driven by a renewed acceleration in claims-cost inflation that outpaces the company's ability to reprice under state rate regulation.
PRINCIPAL CATALYST	Continued monthly and quarterly combined-ratio disclosures, which the market treats as a high-frequency read on whether 2025's underwriting performance is durable.
KEY VARIABLE	The companywide combined ratio - its trajectory determines earnings, capital generation, the size of the annual variable dividend, and ultimately whether the current price-to-book premium versus peers is sustained.
THESIS INVALIDATION	The investment thesis would become materially weaker if the companywide combined ratio were to rise above 96 for two or more consecutive quarters without a clear one-off catastrophe explanation, if net premiums written growth were to turn negative, or if personal-auto market share were to reverse for two or more consecutive NAIC reporting periods.

F. Data Table

EXHIBIT F-1. STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior year	5-year trend
Market	Market capitalization	USD 127.1 bn	n/a	n/a
Market	Enterprise value (calculated)	~USD 133.8 bn	n/a	n/a
Market	Share price (31 Aug 2026 close)	USD 218.08	n/a	+576.4% (10yr)
Growth	Revenue growth (FY2025)	16.3%	21.4% (FY2024)	16.4% CAGR (21-25)
Profitability	Operating margin	16.2%	14.2%	Rising since 2022 trough
Profitability	Net margin	12.9%	11.3%	Rising since 2022 trough
Profitability	Return on equity (average equity)	~40.4%	n/a (equity data limited to 2 years)	
Profitability	Return on invested capital	Not meaningful for a float-funded insurer		-
Underwriting	Companywide combined ratio	87.4	88.8	85.2 (2020) to 95.8 (2022) to 87.4 (2025)
Cash Flow	Operating cash flow	USD 17.5 bn	USD 15.1 bn	n/a
Cash Flow	Free cash flow	USD 17.2 bn	USD 14.8 bn	n/a
Leverage	Debt / total capitalization	18.5%	21.2%	Declining
Valuation	P/E (trailing)	10.9x	n/a	n/a
Valuation	EV/EBITDA (not meaningful, see B3)	21.9x	n/a	n/a
Valuation	Price / free cash flow	~7.4x	n/a	n/a
Market	Beta (reported)	0.26	n/a	n/a
Market	Annualized volatility (1yr, weekly)	26.5%	n/a	n/a
Market	Maximum drawdown (5-10yr)	-33.4%	n/a	n/a

"Current" reflects fiscal 2025 for financial-statement metrics and 31 August 2026 for market metrics. Entries marked n/a reflect data not obtained for that specific comparison window, per Section C2's note on limited multi-year balance-sheet detail, rather than a zero or immaterial value.

G. Sources and Methodology

Primary Sources

The Progressive Corporation - Form 10-K, Exhibit 99 (Letter to Shareholders), fiscal year 2025 Filed 2 March 2026, SEC EDGAR
Companywide and segment combined ratios, net premiums written, policies in force, investment portfolio returns, capital-management commentary, Florida policyholder-credit disclosure.

The Progressive Corporation - Progressive Reports December 2025 Results (earnings release) Issued 28 January 2026, investors.progressive.com
Fourth-quarter and full-year net premiums written and earned, net income, EPS, combined ratio, policies-in-force detail by segment.

The Progressive Corporation - Investor Relations, CFO transition announcement 28 January 2026, investors.progressive.com
John Sauerland retirement and Andrew Quigg CFO succession.

US Securities and Exchange Commission (EDGAR) - Progressive Corp/OH Form 10-K filing index Filed 2 March 2026
Confirmation of filing date and exhibit structure.

Secondary Sources

Agency Checklists / AM Best - NAIC 2025 market share data, top private passenger auto insurers 2026
Full-year 2025 direct premiums written and market share for State Farm, Progressive, Berkshire Hathaway (GEICO) and Allstate.

S&P Global Market Intelligence - "Progressive now No. 1 US private auto insurer for full 12 months, estimates show" May 2026
Trailing-twelve-month market-share leadership commentary.

Repairer Driven News - "State Farm, Progressive hold 37% of auto insurance market share, NAIC data shows" 31 March 2026
Market concentration context.

The Motley Fool / Yahoo Finance - "Progressive's Combined Ratio Widened to 87.1 Last Quarter" 8 August 2026
Second-quarter 2026 combined-ratio detail and market reaction context.

Insurance Business Magazine - "Progressive announces strong 2025 finish and CFO succession plan" January 2026
Corroboration of CFO transition and full-year 2025 highlights.

Carrier Management - "Progressive Puts Targeted 96 Combined Ratio in the Books for 2022"; "Progressive '24 Net Income More Than Doubles; Combined Ratio Below Target" 2023 and 2025
Historical combined-ratio figures for fiscal years 2022, 2023 and 2024 used in Exhibit C1-1 and C1-3.

Fortune - Tricia Griffith, 2026 Most Powerful Women profile 2026
CEO background and tenure confirmation.

Market Data

Alpha Vantage - Company Overview, Global Quote, and daily/weekly adjusted time series for PGR, ALL, TRV, CB and CINF
Retrieved 31 August 2026
Market capitalization, trailing and forward valuation multiples, price history, moving averages, beta, dividend history, and peer-comparison figures throughout Sections B3, B4 and F.

Alpha Vantage - Income statement, balance sheet and cash flow statement (normalized GAAP fields), and analyst earnings estimates for PGR Retrieved 31 August 2026
Five-year income-statement series (Section C1), two-year balance-sheet and cash-flow detail (Sections C2-C3), and FY2026/FY2027 consensus estimates (Section C4).

Alpha Vantage - 10-year US Treasury yield, monthly series Retrieved 31 August 2026
Risk-free-rate reference for the Section C5 discount-rate discussion.

Calculations

The following are Calculated by the analyst rather than directly reported: enterprise value; price/free cash flow and EV/free cash flow; operating, net and free-cash-flow margins; effective tax rate; debt/equity, debt/total capitalization and the assets/equity leverage multiple; OCF/net income cash-conversion ratio; revenue and net income CAGRs; the price-return,

annualized-volatility and maximum-drawdown series in Section B4; the average-equity return on equity for fiscal 2025; and the full adapted distributable-earnings valuation model and sensitivity grid in Sections B3 and C5.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.